

ENT 102

EVALUATION OF BUSINESS CONCEPTS AND OPPORTUNITIES

MASTER EXAM NOTES — WEEKS 1 TO 12

Federal University Oye-Ekiti (FUOYE) | 2025/2026 Session

Compiled for: INDIGENE

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Sources: Lecture Notes • Agency Docx Files • Product Planning Docx • OyeSource PDF •
T_12 PDF

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WEEK 1 — CONCEPT OF BUSINESS

Source: OyeSource PDF (Dr. S.A. Olasehinde) + Study Reference Questions

1.1 What is Business?

Business is an organized effort by individuals or groups to produce and sell goods and services for profit, in order to satisfy human needs and wants. It is an essential component of economic systems, contributing to wealth creation, employment generation, and economic development.

1.2 Key Definitions of Business

SCHOLAR	DEFINITION
Peter Drucker	Business is "an organization that is created to provide goods and services to customers."
AMA	Business is "all activities involved in the exchange of goods and services for money."
Boone & Kurtz (2019)	Business is "any activity that provides goods and services in an economic system."

1.3 Types of Business Ownership

TYPE	KEY FEATURES
Sole Proprietorship	Owned and run by one person. Owner takes ALL profit and bears ALL risks. UNLIMITED liability. Simplest form.
Partnership	Two or more people share ownership, responsibilities, and profits. Requires a partnership deed. UNLIMITED liability for general partners.
Limited Liability Co.	Legally separate from owners. Shareholders only liable up to their investment. Can raise capital. SEPARATE legal entity.
Cooperative	Owned and operated by members for mutual benefit. Registered under the Cooperative Societies Act.

1.4 Classification of Business Activities

CATEGORY	DESCRIPTION
Industry	Extraction, production, or construction (e.g., agriculture, mining, manufacturing)
Commerce	Trade and auxiliary activities (banking, insurance, transport, warehousing, advertising)
Service	Rendering intangible services (hospitals, schools, consulting, law firms)

1.5 Importance of Business to Nigeria

- Creates employment and reduces poverty
- Generates income and tax revenue for government
- Promotes innovation and technological advancement
- Raises standard of living through goods and services
- Develops local industries and reduces import dependence
- Facilitates international trade and foreign exchange earnings

★ **EXAM TIP:** Know Peter Drucker's AND AMA's definition word for word. Know the 4 types of ownership and their KEY difference — **UNLIMITED** liability (sole/partnership) vs **LIMITED** liability (company/cooperative).

WEEK 2 — CHARACTERISTICS AND GOALS OF BUSINESS ENTERPRISES

Source: OyeSource PDF + Study Reference Questions PDF

2.1 Characteristics of Business Enterprises

- **Economic Activity:** All business activities involve production, exchange, or distribution of goods/services for money.
- **Profit Motive:** The primary objective — revenue exceeding costs.
- **Risk and Uncertainty:** Every business faces risks — economic changes, competition, customer preferences.
- **Continuity:** A business should aim to exist perpetually — not just one transaction.
- **Regularity of Dealings:** Transactions must be regular and consistent, not one-time events.
- **Legal Entity:** Must be registered and operate within the bounds of the law.
- **Customer/Consumer Focus:** Long-term success depends on satisfying customer needs consistently.
- **Creation of Utility:** Businesses create form, place, time, and possession utility.
- **Exchange of Goods/Services:** Business involves buying, producing, or selling.
- **Employment Generation:** Businesses create jobs and develop human capital.

2.2 Goals of Business Enterprises

PRIMARY Goals (Financial/Economic):

- **Profit Maximization:** Generate surplus after all costs — funds growth, rewards investors.
- **Survival:** Especially for new/small businesses — staying in business is the first goal.
- **Growth:** Expanding sales, market share, workforce, geographic reach, and product lines.
- **Capital Accumulation:** Building assets and financial reserves over time.

SECONDARY Goals (Social):

- **Social Responsibility:** Contributing positively to the community and environment.
- **Employee Welfare:** Ensuring staff wellbeing, job satisfaction, fair wages.
- **Customer Satisfaction:** Delivering value that builds loyalty and positive reputation.
- **Innovation:** Continuously improving processes, products, and services.
- **National Development:** Contributing to GDP, foreign exchange earnings, reducing poverty.

2.3 Role of Business in Economic Development — Key Stats

- SMEs employ over 84% of the labour force in Nigeria (NBS data)

- SMEs contribute about 48% of national GDP
- Drive innovation, local production, and reduce import dependence
- Generate foreign exchange through non-oil exports
- Manufacturing products are easily transferable across national and international borders (Thomas, 2003)

★ **EXAM TIP: Exam favourite: List CHARACTERISTICS of a business enterprise — know at least 6. Know PRIMARY (profit, survival, growth) vs SECONDARY (social responsibility, welfare, innovation) goals.**

WEEK 3 — IDENTIFICATION OF BUSINESS IDEAS AND OPPORTUNITIES

Source: ENT_102_Lecture_Notes.docx — MRS D.N. ALABADAN (Official FUOYE Lecture Notes)

3.1 Core Definitions

TERM	DEFINITION
Business Idea	A concept that can be used to generate revenue. Serves as the foundation for a business venture and addresses a need or solves a problem in a particular market.
Business Opportunity	The favorable condition or situation that allows the potential for a business idea to succeed. Often arises from trends, market gaps, or changes in customer preferences.

KEY DISTINCTION: A business IDEA is the concept. A business OPPORTUNITY is the favorable condition that makes the idea workable in the market.

3.2 Sources of Business Ideas (7 Sources)

- **Personal Interests and Hobbies:** Turning what you love doing into a business.
- **Customer Pain Points:** Addressing challenges faced by customers in specific markets.
- **Existing Products/Services:** Improving or adding value to existing offerings.
- **Market Trends:** Leveraging current trends — tech advancements, sustainability, health-consciousness.
- **Gaps in the Market:** Identifying unmet needs or underserved demographics.
- **Observation and Research:** Paying attention to everyday problems and conducting market research.
- **Industry Insights:** Using knowledge and experience within a particular industry to innovate.

3.3 Characteristics of a Good Business Idea

- Solves a problem or meets a specific need
- Is unique or has a competitive advantage
- Is scalable with potential for growth
- Aligns with the entrepreneur's skills, interests, and values
- Is financially feasible and capable of generating profit

3.4 Methods for Identifying Business Opportunities

METHOD	DESCRIPTION
Environmental Scanning	Analyzing economic, social, and technological changes in the environment.
Networking	Engaging with professionals, mentors, and potential customers for insights.
SWOT Analysis	Assessing internal strengths/weaknesses and external opportunities/threats.
Market Research	Investigating customer preferences, competition, and market trends.
Brainstorming	Generating innovative ideas through group or solo reflection.

3.5 Steps to Evaluate Business Ideas

- **Feasibility Study:** Assessing practicality in terms of resources, skills, and time.
- **Market Analysis:** Evaluating target audience size, customer demand, and competition.
- **Financial Analysis:** Estimating costs, revenue potential, and profitability.
- **Risk Assessment:** Identifying and planning for possible challenges.
- **Prototype/Pilot Testing:** Developing a small-scale version to gather real feedback.
- **Alignment Check:** Ensuring the idea aligns with long-term personal and business goals.

3.6 Real-World Examples

COMPANY	OPPORTUNITY IDENTIFIED
Airbnb	Identified the need for affordable, unique short-term accommodations worldwide.
Uber	Addressed inefficiencies in traditional taxi services through technology.
Solar Startups	Leveraged the global trend toward renewable energy to build businesses.

★ EXAM TIP: This ENTIRE week came from official FUOYE lecture notes (MRS ALABADAN). Know the distinction between a business IDEA and OPPORTUNITY. Know ALL 7 sources of business ideas.

WEEK 4 — FEASIBILITY STUDY AND BUSINESS PLAN

Source: T_12 PDF (Primary Source) + OyeSource PDF Ch.11 (Mrs D.N. Alabadan / Dr. S.A. Olasehinde)

4.1 What is a Feasibility Study? — Full Definition (T_12 PDF)

A feasibility study is a **comprehensive evaluation of a proposed project** that evaluates all factors critical to its success in order to assess its likelihood of success. Business success can be defined primarily in terms of ROI — the amount of profits the project will generate.

A feasibility study involves the process through which the viability of a business can be assessed. It analyzes the **workability and profitability** of a proposed business venture. Two criteria must be considered when judging feasibility: the **required cost** and the **expected value**.

A feasibility analysis determines the viability of an idea, ensuring a project is **legally feasible**, **technically feasible**, and **economically justifiable**. It tells us whether a project is worth the investment. Without a feasibility study, it cannot be easy to know whether a proposed project is worth pursuing.

A well-designed study should offer: a historical background of the business or project, description of the product or service, accounting statements, details of operations and management, marketing research and policies, financial data, legal requirements, and tax obligations. Generally, such studies **precede technical development and project implementation**.

4.2 Purpose of a Feasibility Study (T_12 PDF)

A feasibility study is an important **FIRST STEP** in starting a new business. It provides information that helps owners make informed decisions. The feasibility study will answer the following important questions:

QUESTION AREA	SPECIFIC QUESTION
Target Market	What is the target market for this business?
Competition	Who are the competitors?
Start-up Costs	What are the costs associated with starting and running this business?
Risks & Rewards	What are the potential risks and rewards associated with this venture?
Revenue Potential	How much revenue can this business generate?
Profitability	What are the estimated profits and losses for this business?
Growth Potential	What is the potential for growth in this industry?

4.3 Importance / Key Benefits of a Feasibility Study (T_12 PDF)

The importance of a feasibility study is based on the organizational desire to **"get it right"** before committing resources, time, or budget. A feasibility study might uncover new ideas that could completely change a project's scope. It is best to make determinations in advance, rather than jumping in and discovering the project won't work.

- **Improves project team's focus** — directs attention to what truly matters
- **Identifies new opportunities** — may reveal possibilities not originally considered
- **Provides valuable information for a "go/no-go" decision** — critical for resource allocation
- **Narrows the business alternatives** — eliminates impractical options early
- **Identifies a valid reason to undertake the project** — confirms the rationale
- Aids in creation of new ventures by providing information on: how the company will work, what difficulties it could face, who its competitors are, and how much and where it will get its funding
- Helps management avoid taking on a tricky business endeavor by providing critical information upfront
- Gives all stakeholders a clear picture of the proposed project and its prospects

4.4 Types of Feasibility Study — 4 Types (T_12 PDF + OyeSource)

TYPE	FULL DESCRIPTION
TECHNICAL FEASIBILITY	Focuses on the technical resources available to the organization. Determines whether the technical team is capable of converting ideas into working systems. Also evaluates the hardware, software, and other technical requirements of the proposed system. KEY QUESTION: Does the organization have the technology and skills needed?

TYPE	FULL DESCRIPTION
ECONOMIC FEASIBILITY	Typically involves a cost/benefit analysis of the project. Helps organizations determine the viability, cost, and benefits associated with a project BEFORE financial resources are allocated. Serves as an independent project assessment and enhances project credibility by helping decision-makers determine the positive economic benefits to the organization.
LEGAL FEASIBILITY	Investigates whether any aspect of the proposed project conflicts with legal requirements like zoning laws, data protection acts, or social media laws. Example: an organization wants to build an office in a specific location — a feasibility study might reveal the location is not zoned for that type of business. Saves considerable time and effort by learning this early.
OPERATIONAL FEASIBILITY	Involves undertaking a study to analyze and determine whether — and how well — the organization's needs can be met by completing the project. Also examines how a project plan satisfies the requirements identified in the requirements analysis phase of system development.

4.5 Sources of Information for Feasibility Studies — 12 Sources (T_12 PDF)

There are various sources through which the required information for a feasibility study can be generated:

NO.	SOURCE OF INFORMATION
1	National Bureau of Statistics
2	National Directorate of Employment
3	Federal Ministry of Trade and Investment
4	State Ministries of Commerce and Industry
5	Commercial Banks
6	Chambers of Commerce
7	Trade Associations
8	Newspapers and Periodicals
9	Libraries
10	Research Institutes
11	Electronic Media
12	The Internet

4.6 Advantages of a Feasibility Study — 3 Main Advantages (T_12 PDF)

- **Advantage 1 — Informed Decision Making:** Preparing a feasibility study is an important step that assists project managers in making informed decisions about whether or not to spend time and money on the endeavor.
- **Advantage 2 — Risk Avoidance:** Feasibility studies may help a company's management avoid taking on a tricky business endeavor by providing them with critical information before resources are committed.

- **Advantage 3 — New Venture Creation:** It aids in the creation of new ventures by providing information on: (a) how a company will work, (b) what difficulties it could face, (c) who its competitors are, (d) how much and where it will get its funding from.

4.7 Components of a Feasibility Study Report (T_12 PDF)

A feasibility study report should cover the amount of technology, resources required, and ROI. The results are summarized in a feasibility report which typically comprises the following sections:

NO.	COMPONENT + DESCRIPTION
1	Executive Summary — overview of the entire study and key findings
2	Specifications of the item or service — what exactly is being proposed
3	Considerations for the future of technology — technological trends and impacts
4	The marketplace for goods and services — market size, trends, competition
5	Approach to marketing — how the product/service will be marketed
6	Organization and staffing — management structure and human resource needs
7	Schedule — timeline for implementation
8	The financial forecasts — projected income, costs, profits
9	Recommendations based on research — go/no-go conclusion and action steps

4.8 Ways of Conducting a Feasibility Study — 7 Steps (T_12 PDF)

STEP	ACTION
Step 1	Do a preliminary analysis . Get feedback from relevant stakeholders on the new project by looking for other business scenarios.
Step 2	Take a market survey to identify market demand and opportunities for the new concept or business.
Step 3	Create an organizational, operational, or business plan . This includes identifying how much labour is required, what costs are involved, and how long it will take.
Step 4	Make a projected income statement that involves revenue, operating expenses, and profit.
Step 5	Create an opening day balance sheet .
Step 6	Identify and address any vulnerabilities or obstacles .
Step 7	Take an initial decision to go ahead with the plan .

4.9 What is a Business Plan? (T_12 PDF + OyeSource)

A business plan is a **document that details a company's goals and how it intends to achieve them**. Business plans benefit both startups and well-established companies. For startups, a business plan can be essential for winning over potential lenders and investors. Established businesses find one useful for staying on track and not losing sight of their goals.

No two businesses have an identical business plan, even if they operate within the same industry. A business plan can look entirely different from another one. It is not only new businesses that greatly benefit from a business plan — well-established companies and large conglomerates also need to tweak their business plans to adapt to new business environments and unpredictable market changes.

From OyeSource: A business plan is a written document describing **what, who, where, how, when and why** of developing and operating a new (or existing) venture (Edward and Salvatore, 1983). Carson (1985) suggests a well-prepared business plan can take **200 to 400 hours** or more to complete.

4.10 Advantages of a Business Plan — 5 Advantages (T_12 PDF)

ADVANTAGE	FULL DESCRIPTION
1. Sets Objectives & Benchmarks	Proper planning helps a business set realistic objectives and assign stipulated time for those goals to be met. This results in long-term profitability. It also lets a company set benchmarks and Key Performance Indicators (KPIs) necessary to reach its goals.
2. Maximizes Resource Allocation	A good business plan helps to effectively organize and allocate the company's resources. It provides an understanding of the result of actions such as opening new offices, recruiting fresh staff, and changes in production. It also helps the business estimate the financial impact of such actions.
3. Enhances Viability	A plan greatly contributes toward turning concepts into reality. Blueprints of successful companies serve as excellent guides for nascent-stage start-ups. It also helps existing firms market, advertise, and promote new products and services into the market.
4. Aids in Decision Making	Running a business involves a lot of decision making: where to pitch, where to locate, what to sell, what to charge. A well-thought-out business plan provides an organization the ability to anticipate curveballs the future could throw at them, and come up with answers and solutions well in advance.
5. Fix Past Mistakes	When businesses create plans keeping in mind the flaws and failures of the past — what worked and what didn't — it helps them save time, money, and resources. Plans that reflect lessons learned from the past offer businesses an opportunity to avoid future pitfalls.

4.11 Elements / Components of a Business Plan (T_12 PDF + OyeSource — 17 Components)

COMPONENT	DESCRIPTION
1. Executive Summary	Introduces the company and includes its mission statement along with relevant information about the company's leadership, employees, operations, and locations. Written LAST, placed FIRST.
2. Products and Services	Describes products/services offered or planned. Includes pricing, product lifespan, unique consumer benefits, production processes, patents, proprietary technology, and R&D; information.
3. Market Analysis	Company needs a good handle on the current state of its industry and the existing competition. Explains where the company fits in, what types of customers it plans to target, and how easy or difficult it may be to take market share from incumbents.

COMPONENT	DESCRIPTION
4. Marketing Strategy	Describes how the company plans to attract and keep customers, including anticipated advertising and marketing campaigns. Also describes the distribution channel(s) it will use to get products/services to consumers.
5. Financial Plans & Projections	Established businesses can include financial statements, balance sheets, and other relevant financial information. New businesses can provide financial targets and estimates for the first few years. May also include any funding requests.
6. Production Strategy	How goods/services will be produced, plant layout, equipment needed.
7. SWOT Analysis	Strengths, Weaknesses, Opportunities, Threats — comprehensive internal and external analysis.
8. Competition Section	Detailed competitive analysis — who competitors are and what strategies they use.
9. Competitive Strategy	Porter's strategies: Cost Leadership, Differentiation, or Focus (Niche).
10. Critical Success Factors	What the business success ultimately hinges upon.
11. Cash Flow Statement	Projected income and expenses (typically 3–5 years).
12. Forecasted P&L; Account	Projected profit and loss account.
13. Forecasted Balance Sheet	Projected balance sheet.
14. Sensitivity Analysis	Tests robustness of business proposition against various changes in assumptions.
15. Finance & Capitalisation	Term loans, operating loans, owner's equity breakdown.
16. Risk Assessment	External factors: strikes, recession, weather, competition — and mitigation plans.
17. References/Appendix	Legal agreements, appraisals, contracts, supporting documents.

4.12 Feasibility Study vs Business Plan — KEY COMPARISON (T_12 PDF)

When starting a business, you must create **TWO very important documents**: a feasibility study AND a business plan. While they may seem similar, they are two different things with different purposes.

DOCUMENT TYPE	DESCRIPTION
FEASIBILITY STUDY	PRELIMINARY document. Assesses whether a proposed business is feasible. Looks at: the market potential, the competition, the costs and benefits of starting the business, and the risks and rewards involved. Comes FIRST — before the business plan.
BUSINESS PLAN	MORE DETAILED document. Outlines how a business will be run and what its goals are. Includes: mission statement, products and services, target market, finances, and management team. Comes SECOND — after feasibility is confirmed.

4.13 Porter's Three Generic Strategies (OyeSource)

STRATEGY	DESCRIPTION
Cost Leadership	Maintain competitive edge by being the LOWEST-COST producer. Advantage lies in generating additional income from cost reduction.
Differentiation	Diversify production or services — make your product DISTINCTLY DIFFERENT. Best for existing/mature producers.
Focus (Niche)	Most likely adopted by NEW FIRM entrepreneurs. Many market opportunities result from specialization in a niche.

4.14 What Turns Investors ON vs OFF (OyeSource)

INVESTOR REACTION	DETAILS
URNS ON	Evidence of Customer Acceptance • Appreciation of Investors' Needs (showing recovery in 3-7 years) • Evidence of Focus (knows what it does well) • Proprietary Position (patents, copyrights, trademarks)
URNS OFF	Product Orientation (too much focus on product, not market) • Projections Deviating Excessively from Industry Norms • Unrealistic Growth Projections • Reliance on Custom/Application Work only

★ EXAM TIP: WEEK 4 = MASSIVE EXAM TOPIC. From T_12 PDF: (1) All 4 types of feasibility study with full descriptions. (2) 12 sources of info. (3) 9 components of feasibility report. (4) 7 steps of conducting a study. (5) 5 advantages of business plan. (6) Elements of business plan. (7) FEASIBILITY STUDY (preliminary, FIRST) vs BUSINESS PLAN (detailed, SECOND).

WEEK 5 — SWOT ANALYSIS AND BUSINESS MANAGEMENT TECHNIQUES

Source: OyeSource PDF + Study Reference Questions PDF

5.1 SWOT Analysis

SWOT Analysis involves the identification of **Strengths, Weaknesses, Opportunities, and Threats** for a business. It is an essential strategic planning tool to understand both internal capabilities and external environment.

QUADRANT	EXAMPLES
STRENGTHS (Internal +)	Things you do well • Resources you have • Advantages over competitors • Strong brand/reputation • Unique technology/skills • Good location
WEAKNESSES (Internal -)	Things you do poorly • Lack of resources/capital • Weak areas competitors exploit • Poor management • High cost structure • Limited product range
OPPORTUNITIES (External +)	Market trends to exploit • New technology to adopt • New markets to enter • Competitor weaknesses • Favourable government policy • Growing customer demand

QUADRANT	EXAMPLES
THREATS (External -)	New competitors entering • Unfavourable policy changes • Economic downturns • Changing customer preferences • Supply chain disruptions • Natural disasters

MEMORY HACK: S & W = INTERNAL (inside your business). O & T = EXTERNAL (outside your business).

5.2 Management Functions — POSLC

FUNCTION	DESCRIPTION
Planning	Setting business objectives and determining how to achieve them — short-term and long-term.
Organizing	Arranging resources, assigning tasks, and establishing structures to achieve goals.
Staffing	Recruiting, selecting, training, and developing the right people for the right roles.
Leading/Directing	Guiding, motivating, and inspiring employees to work toward goals.
Controlling	Monitoring actual performance against set standards and correcting deviations.

5.3 Marketing Mix — The 4 Ps

P	DESCRIPTION
Product	What you sell: design, quality, features, branding, packaging. MOST IMPORTANT P.
Price	How much you charge: pricing strategy, discounts, credit terms, break-even pricing.
Place	Distribution: where and how customers access your product — channels, logistics, coverage.
Promotion	Communication: advertising, PR, sales promotion, personal selling, digital marketing.

5.4 Market Key Concepts

CONCEPT	DEFINITION
Market Segmentation	Dividing the total market into distinct groups of buyers with SIMILAR NEEDS.
Target Marketing	Focusing your marketing effort on a SPECIFIC market segment.
Market Research	Collecting and analyzing data on marketing problems to understand opportunities.
Essence of Marketing	BRINGING BUYERS AND SELLERS TOGETHER (from Study Reference Questions).

5.5 Working Capital — CRITICAL Business Factor

Working capital is the MOST CRITICAL factor in the life of ANY business enterprise (Study Reference Questions PDF). Working Capital = Current Assets MINUS Current Liabilities.

- Sufficient working capital keeps the business running smoothly
- DECLINING working capital is the FIRST symptom of business failure
- Small businesses fail primarily due to working capital shortages

★ EXAM TIP: SWOT is a GUARANTEED exam question. Know all 4 quadrants (2 internal: S&W; 2 external: O&T;). Know the 4 Ps. Know that WORKING CAPITAL is the most critical factor in business life.

WEEK 6 — ENTREPRENEURIAL GOVERNMENT SUPPORT AGENCIES

Source: GST106_6A docx + GST106_6B docx + ENT_102_Government_Agencies docx

6.1 Definition of a Government Agency

A government agency is a permanent or semi-permanent organization within a national or state government, responsible for oversight or administration of a specific sector. Entrepreneurship is crucial for Nigeria's economic growth because SMEs are the biggest drivers of the Nigerian economy.

6.2 Three Types of Government Agencies

TYPE	DESCRIPTION & EXAMPLES
PARTICIPATORY	Aid in providing goods and services best produced by government at subsidized rates. Examples: FERMA, PHCN, NEMA, FAAN.
REGULATORY	Established for regulating business — inspecting facilities, testing products, approving standards. Examples: SON, NAFDAC, NDLEA, FEPA, SEPA.
FACILITATIVE	Set up to facilitate establishment and success of small-scale industries. Examples: ITF, FIIRO, BOI, IDC, NEPC, NDE, NAPEP, SMEDAN.

6.3 Specific Agencies — Full Details

1. CORPORATE AFFAIRS COMMISSION (CAC) — Est. 1990

Established by the Companies and Allied Matters Act (CAMA) No. 1 of 1990 (now on Acc cap C20 Laws of the Federation of Nigeria).

- Oversees registration and regulation of MSMEs, companies, and business entities in Nigeria
- Facilitates formalization of business — enables entrepreneurs to establish legal entities and access funding
- Promotes transparency, accountability, and investor confidence through regulatory functions
- Creates a more conducive environment for entrepreneurship to thrive in Nigeria
- No legal business or corporate organisation can undermine the place of CAC in the ease of doing business

2. CENTRE FOR MANAGEMENT DEVELOPMENT (CMD) — Est. 1973

Established by Federal Government as the operational arm of the Nigeria Council for Management Development (NCMD). Commenced operations in 1973; legal backing by Act No. 51 of 1976. Parastatal of the Ministry of Budget and National Planning.

- VISION: To be a world class resource institution of excellence for management development
- MISSION: To stimulate, promote and coordinate management development for management excellence in Nigeria
- Policy making, promotion and coordination of managerial manpower development
- Accreditation and registration of management trainers and training institutions
- Management advisory and consultancy services
- Reference library for management development
- Sponsoring, promoting and conducting research into various facets of management development
- Publishing journals, research papers, and books on modern management

3. RAW MATERIALS RESEARCH AND DEVELOPMENT COUNCIL (RMRDC) — Est. 1987

Established by Decree (Now Act) No. 39 of 1987; commenced operations on February 10, 1988. Originated from recommendations of a workshop by MAN and NISER in July 1983. Nigeria's focal point for development and utilization of industrial raw materials.

- Conducts research on raw materials, processes, and products to identify entrepreneurship opportunities
- Promotes utilization of local raw materials in Nigerian industries
- Provides training and capacity-building for entrepreneurs on raw materials utilization
- Supports 10 industrial sectors of MAN (food, textiles, leather, wood, chemicals, plastics, motor vehicles, electrical, pulp/paper, advanced materials)
- Provides business support, consultancy, advisory services (start-up, business documentation, equipment sourcing)
- Provides B2B networking platforms through exhibitions, trade fairs, workshops, and seminars
- Facilitates technology transfer and innovation from research institutions to entrepreneurs

4. NATIONAL DIRECTORATE OF EMPLOYMENT (NDE) — Est. November 1986

Established in November 1986; began full operations in January 1987. Birth was predicated on the effects of the economic recession of the 1980s, which led to drastic reduction in capacity utilization and closure of industries. Also caused by Structural Adjustment Programme (SAP), devaluation of the Naira, privatization — resulting in massive job losses.

- Design and implement programmes to combat mass unemployment
- Articulate policies aimed at developing work programmes with labour-intensive potentials
- Obtain and maintain a Data Bank on employment and vacancies — acting as a clearing house
- Implement other policies as laid down from time to time by the Board
- **MAIN GOAL:** Combat mass unemployment through skills acquisition, self-employment, and labour-intensive work schemes

5. FEDERAL INSTITUTE OF INDUSTRIAL RESEARCH OSHODI (FIRO) — Est. 1956

Parastatal under the Federal Ministry of Science and Technology. Idea originated from a World Bank economic mission to Nigeria in 1953 — observed that industrial research activities were diffused and uncoordinated. Consequently, the Institute was established in 1956.

- VISION: To be the foremost centre for Science and Technology-based research and development
- Identify and characterize local raw materials for use in industries
- Develop appropriate technologies; upgrade indigenous technologies in food, agro-allied processing, and non-food areas
- Develop pilot-scale operations
- Assist in transfer, adaptation, and utilization of technologies by local enterprises

- Undertake economic evaluation of projects and consultancy services

6. NIGERIA INSTITUTE FOR OIL PALM RESEARCH (NIFOR) — Est. 1939

Established in 1939 as Oil Palm Research Station (OPRS). Name changed to West African Institute for Oil Palm Research (WAIFOR) in 1951. Changed again to NIFOR in 1960.

- Conduct research into production and products of oil palm and other palms of economic importance
- Fundamental study of mandate crops (oil palm, Raphia, date, coconut, Shea, ornamental palms)
- Improvement of genetic potentials and production of seeds for distribution to farmers
- Improvement of agronomic and husbandry practices: planting, cultivation, harvesting, soil fertility
- Ecology of pests and diseases and development of control measures
- Mechanization and improvement of cultivation, harvesting, processing, preservation, and storage

7. NIGERIAN INVESTMENT PROMOTION COMMISSION (NIPC)

Agency of the Federal Government established to encourage, promote, and coordinate investments in Nigeria. Creates a conducive environment for both local and foreign investors.

- Coordinate and monitor all investment promotion activities
- Initiate and support measures to enhance the investment climate in Nigeria
- Promote investments in and outside Nigeria through effective promotional means
- Collect, collate, analyze, and disseminate information about investment opportunities
- Register and keep records of enterprises
- Identify specific projects and invite interested investors for participation
- Provide and disseminate up-to-date information on incentives available to investors
- Assist incoming and existing investors by providing support services
- Advise Federal Government on fiscal policies for industrialization

8. NIGERIAN EXPORT PROMOTION COUNCIL (NEPC)

Government agency responsible for promoting and developing Nigeria's non-oil export sector.

- KEY OBJECTIVES: (1) Promote non-oil exports (2) Develop export-oriented industries (3) Improve export competitiveness
- Export promotion through trade missions, exhibitions, and marketing activities
- Export development: training, capacity building, and infrastructure for exporters
- Export regulation: issuance of export permits and licenses
- Market research and intelligence for Nigerian exporters
- BENEFITS TO ENTREPRENEURS: Access to export markets, training, export finance, regulatory support

6.4 Quick Reference — Establishment Dates

AGENCY	ESTABLISHMENT DATE
NIFOR	1939 (originally OPRS)
FIRO	1956 (World Bank mission: 1953)
CMD	1973 (Legal backing: Act No. 51, 1976)
NDE	November 1986 (Operations: January 1987)
RMRDC	Decree No. 39, 1987 (Operations: February 10, 1988)
CAC	1990 (CAMA Act No. 1)

★ EXAM TIP: Week 6 is ONE OF THE BIGGEST EXAM TOPICS. Know: (1) The 3 types of agencies. (2) Establishment dates of each. (3) Full functions of CAC, CMD, RMRDC, NDE, FIRO, NIFOR, NIPC, NEPC.

WEEK 7 — MID-SEMESTER REVISION — KEY SCHOLARS, DEFINITIONS & CONCEPTS

Source: Study Reference Questions PDF (60 Questions) + OyeSource PDF

7.1 Key Scholars and Their Contributions

SCHOLAR	CONTRIBUTION
Richard Cantillon	COINED the concept of "entrepreneur" — the very FIRST person to formally define it.
Joseph Schumpeter	Listed entrepreneurial characteristics: risk-bearing, coordination, and innovation.
Jean-Baptiste Say	Defined entrepreneur as someone who shifts economic resources from lower to HIGHER productivity.
Cantillon	Stressed the SIGNIFICANCE of entrepreneurship for economic growth.
Adam Smith	Father of modern economics — division of labour and free market.
Peter Drucker	Business = "an organization that is created to provide goods and services to customers."

7.2 Essential Definitions

TERM	DEFINITION
Entrepreneurship	The NON-CONTINUOUS process of combining resources to create products, services, and ideas. Originates from ECONOMICS and BUSINESS.
Entrepreneur	An individual who creates a new enterprise in a risky environment. A risk taker and visionary who COMMERCIALIZES ideas.
Intrapreneur	Individual who exhibits innovative abilities and mobilizes resources within an EXISTING organization. NOT a new business — within an existing one.
Innovation	The process of APPLYING new ideas . Creating value from creative concepts.
Creativity	BRINGING SOMETHING NEW INTO EXISTENCE. Generating new ideas (not applying them — that's innovation).
Invention	Creating a new idea/product for the FIRST TIME. Inventors CREATE; Entrepreneurs COMMERCIALIZE.

7.3 Roles of an Entrepreneur

- **Visionary:** Starting a business with a fresh idea — sees the big picture
- **Leader:** Guiding and motivating people toward the business goal
- **Resource Allocator:** Assigning resources effectively to maximize output
- **Directing and Controlling:** Ensuring tasks are done properly
- **Risk Taker:** Taking uncertainty to pursue business opportunities

7.4 Critical Facts

QUESTION	ANSWER
What is NOT Entrepreneurship?	ROUTINE MANAGEMENT of an ongoing operation. Entrepreneurship involves creating something new, combining resources, or innovating.
What affects supply of Entrepreneurship?	OPPORTUNITY — not money, not love, not just risk. Opportunity is what drives entrepreneurship.

7.5 Types of Innovation (4 Types)

TYPE	DESCRIPTION
Technological Innovation	Using new technology to develop improved products, processes, or services.
Product-Market Innovation	Launching new products to new or existing markets.
Administrative Innovation	Changing the way an organization is structured, managed, or administered.
Architectural Innovation	Bringing about a NEW DOMINANT DESIGN that redefines an entire industry (e.g., smartphone).

7.6 The Creative Process — 4 Steps IN ORDER

STEP	DESCRIPTION
1. PREPARATION	Actively defining the problem, gathering information. FIRST STEP. Active phase.
2. INCUBATION	Unconscious processing — mind works on problem "in the background". Passive phase.
3. ILLUMINATION	The Eureka / Aha! moment — idea surfaces into conscious thought.
4. VERIFICATION	Testing and refining the idea to confirm it actually works.

7.7 Key SME/Small Business Facts

- Small businesses provide: goods, services, AND jobs (all of the above)
- Most critical factor in business enterprise life: **WORKING CAPITAL**
- Factors contributing to SME failure: lack of capital, poor management, marketing challenges
- Market segmentation = dividing market into groups of buyers with similar needs
- Marketing mix = Product, Price, Promotion, Place (the 4 Ps)

★ EXAM TIP: WHO coined entrepreneur? = RICHARD CANTILLON. WHO listed risk-bearing, coordination, innovation? = JOSEPH SCHUMPETER. First step in creative process? = PREPARATION. What affects supply of entrepreneurship? = OPPORTUNITY. What is NOT entrepreneurship? = Routine management.

WEEK 8 — ENTREPRENEURIAL FINANCIAL INSTITUTIONS

Source: OyeSource PDF pp.141-143 (Institutional and Policy Supports for SMEs in Nigeria)

8.1 Introduction

Entrepreneurial financial institutions provide financial support, loans, grants, equity, and investment to entrepreneurs and SMEs. They are critical for business start-up, operations, and expansion. The core problem of SMEs is that most firms are small and do not have access to the capital market, and accessing bank loans is tedious with cut-throat interest rates (Anyanwu and Oluremi, 1991).

8.2 Timeline of Institutional/Policy Supports for SMEs in Nigeria

YEAR	INSTITUTION / PROGRAMME
1964	Nigerian Industrial Development Bank (NIDB)
1971	Small Scale Industries Credit Scheme (SSICS)
1973	Nigerian Bank for Commerce and Industries (NBCI)
1989	SME Apex Unit of Central Bank of Nigeria
1989	National Economic Reconstruction Fund (NERFUND)
1989	African Development Bank / Export Stimulation Loan (ADB/ESL)
Various	Nigerian Export-Import Bank (NEXIM)
Various	National Directorate of Employment (NDE)
Various	Community Banks, People's Bank, FEAP, State Ministry Schemes
Various	Small and Medium Industries Equity Investment Scheme (SMIEIS)
2001	Bank of Industry (BOI) — merger of NIDB + NBCI + NERFUND
2003	SMEDAN — Small and Medium Enterprise Development Agency of Nigeria
2005	Credit Guarantee Scheme for SMEs (Basil, 2005)

8.3 Key Institutions — Detailed Notes

INSTITUTION	KEY DETAILS
BANK OF INDUSTRY (BOI) — 2001	Nigeria's foremost Development Finance Institution (DFI). Created from merger of NIDB + NBCI + NERFUND. Provides loans at concessionary rates to SMEs in manufacturing and services. Provides equity financing and loan guarantees. Supports established and start-up manufacturing, services, and IT companies.
SMEDAN — 2003	Established under SMEDAN Act 2003 to facilitate promotion and development of SMEs. Links SMEs to local and international markets. Provides access to finance, training, and business development services. Creates a conducive policy environment for SME growth.
SMIEIS	Commercial banks set aside 10% of their Profit Before Tax (PBT) for equity investment in SMEs. Provides equity funding at NO interest. Targets manufacturing, agriculture, solid minerals, and information technology sectors.
NERFUND — 1989	Established in 1989 to provide medium- and long-term loans. Provides loans to wholly indigenous small and medium businesses. Targets businesses that cannot access regular commercial bank credit.
NEXIM	Provides credit facilities to support Nigerian exporters. Promotes diversification of Nigeria's export base beyond oil and gas. Issues export credit insurance and guarantees.
MICROFINANCE BANKS	Target the grassroots — farmers, artisans, market women, and small-scale entrepreneurs. Provide small loans without strict collateral requirements. Key for financial inclusion of the unbanked population.

★ EXAM TIP: Know: BOI (loans to manufacturers, formed 2001 from NIDB+NBCI+NERFUND), SMEDAN (SME development, 2003), SMIEIS (10% of bank PBT for SMEs, no interest), NERFUND (1989, long-term loans), NEXIM (export finance). The timeline is a KEY exam resource.

WEEK 9 — PRODUCT PLANNING AND DEVELOPMENT PROCESS

Source: GST106__8__PRODUCT_PLANNING_AND_DEVELOPMENT_PROCESS.docx

9.1 The 7 Stages of Product Planning and Development — IN ORDER

STAGE	DESCRIPTION
1. IDEA GENERATION	A continuous, systematic search for new product opportunities. Sources: employees, channel members, competitors, customers. Methods: brainstorming, market surveys. Includes idea screening and concept development.
2. PRODUCT SCREENING	Poor and unsuitable ideas are ELIMINATED. Every idea is weighed against a checklist on a 1-10 scale (1=outstanding; 10=very poor). All production and marketing attributes scrutinised.
3. CONCEPT TESTING	Presents consumers with a proposed product and measures attitudes at an EARLY stage. Quick, inexpensive way to assess consumer enthusiasm. Uses pictures, written statements, or oral product descriptions.

STAGE	DESCRIPTION
4. BUSINESS ANALYSIS	Detailed review and evaluation of: consumer demand, production costs, marketing costs, break-even points, competition, capital investments, and profitability. Critical because next step is expensive.
5. PRODUCT DEVELOPMENT	Idea converted into a TANGIBLE FORM. Prototypes created, packaging designed, production processes planned. Basic marketing strategy is identified.
6. TEST MARKETING	Fully developed product placed in one or more selected areas and its actual performance observed. Purpose: evaluate product in a REAL SETTING PRIOR to full launch. Decisions: when, where, how long to test.
7. COMMERCIALIZATION	Product introduced to its FULL TARGET MARKET by adopting full-scale production. May require large planned capital investment and long-term commitment. Includes comprehensive marketing, launch planning, and sales strategy.

MEMORY MNEMONIC: "I Sell Cheap Business Products To Customers" = **I**dea Generation → **S**creening → **C**oncept Testing → **B**usiness Analysis → **P**roduct Development → **T**est Marketing → **C**ommercialization

9.2 Product Life Cycle (PLC) — 6 Stages

STAGE	DESCRIPTION & MARKETING OBJECTIVE
1. Introduction	Product is launched. High costs, low sales. Entrepreneur must show commitment and expect little. Marketing objective: CREATE AWARENESS .
2. Growth	Sales increase rapidly. Competitors appear. Marketing objective: MAXIMIZE PROFIT as early as possible.
3. Growth Maturity	Sales growth rate starts to DECLINE.
4. Stable Maturity	Sales FLATTEN due to market saturation. Many competitors and fake products proliferate. Objective: DEFEND market share .
5. Decaying	Sales and products are DECLINING. Objective: reduce expenditure, "milk the brand," go selective in distribution.
6. Petrification	Product line is CLOSED. Brand manager redeployed. Entrepreneur may try different packaging/branding to revive.

9.3 PLC Key Assumptions

- Products always have a limited life
- Product sales pass through distinct stages with different challenges and opportunities
- Profits rise and fall at different stages of the PLC
- Products require different marketing, financial, manufacturing, and HR strategies at each stage

★ **EXAM TIP:** The 7 stages of product planning are a CLASSIC exam question. Memorize IN ORDER: Idea Generation → Screening → Concept Testing → Business Analysis → Product Development → Test Marketing → Commercialization. Also know the 6 PLC stages.

WEEK 10 — LEGAL ISSUES IN STARTING A BUSINESS

Source: OyeSource PDF + ENT 102 General Knowledge from Course Outline

10.1 Business Registration in Nigeria — CAC

All businesses in Nigeria must be registered with the **Corporate Affairs Commission (CAC)** under the Companies and Allied Matters Act (CAMA) of 1990.

TYPE	DESCRIPTION
Business Name	For sole proprietorships and partnerships. Simplest and cheapest form of registration.
Private Ltd (Ltd)	Private company with limited liability. Shareholders only liable up to their investment.
Public Ltd (Plc)	Can offer shares to the general public. Subject to more stringent regulation.
Incorporated Trustees	For non-profit organizations, NGOs, churches, and associations.
Cooperative Society	Registered under the Cooperative Societies Act for mutual benefit of members.

10.2 Licenses and Permits Required

- Business Premises Permit — from the Local Government Authority (LGA)
- NAFDAC Registration — for food, drugs, cosmetics, and medical devices
- SON Certification — for manufactured goods meeting standards
- Tax Identification Number (TIN) — from Federal Inland Revenue Service (FIRS)
- Sector-specific licenses: pharmacy (PCN), legal practice (NBA), medical practice (MDCN)

10.3 Intellectual Property (IP) Protection

IP TYPE	DESCRIPTION
Patent	Protects INVENTIONS and new processes. Valid for 20 years. Register with Patents and Designs Registry.
Trademark	Protects BRAND NAMES, logos, and symbols. Register with Trade Marks Registry.
Copyright	Protects original CREATIVE WORKS — literary, artistic, musical. Register with Nigerian Copyright Commission.
Industrial Design	Protects the AESTHETIC/VISUAL aspects of a product.

10.4 Taxation Requirements

TAX	RATE/DETAILS
Companies Income Tax (CIT)	30% for large companies; 20% for medium; 0% for small (revenue < N25m)

TAX	RATE/DETAILS
Personal Income Tax (PIT)	For individuals, sole traders — graduated rates
Value Added Tax (VAT)	7.5% on goods and services
Withholding Tax (WHT)	Deducted at source on certain transactions
Capital Gains Tax (CGT)	10% on gains from disposal of chargeable assets

10.5 Employment Law Compliance

- **Labour Act:** Regulates employment conditions, wages, notice periods, termination
- **Factories Act:** Health and safety standards in manufacturing environments
- **Employees Compensation Act:** Compensation for workplace injuries and diseases
- **Pension Reform Act:** Mandatory pension contributions (employee 8%, employer 10%)
- **National Housing Fund (NHF):** 2.5% of monthly salary for workers earning ≥N3,000

10.6 Legal Forms of Business — Comparison Table

FEATURE	SOLE PROPRIETORSHIP PARTNERSHIP COMPANY
Liability	Sole: UNLIMITED (personal assets at risk) Partnership: UNLIMITED (general partners) Company: LIMITED to investment
Ownership	Sole: One person Partnership: 2 or more persons Company: Shareholders
Registration	Sole: Business Name (CAC) Partnership: Partnership Deed + CAC Company: CAC (Articles of Association)
Legal Status	Sole: NOT separate from owner Partnership: NOT separate from partners Company: SEPARATE legal entity
Continuity	Sole: Ends with owner's death Partnership: Can dissolve on disagreement Company: PERPETUAL succession

★ EXAM TIP: Know the 4 types of business registration, the role of CAC, intellectual property types (patent=invention, trademark=brand, copyright=creative works), and key taxes (CIT: 30%/20%/0%, VAT: 7.5%).

WEEK 11 — CREATIVITY, INNOVATION, ENTREPRENEURIAL SKILLS & PRODUCT DEVELOPMENT

Source: OyeSource PDF Ch. 2 & Ch. 24

11.1 Creativity vs Innovation — Core Distinction

TERM	DEFINITION
CREATIVITY	BRINGING SOMETHING NEW INTO EXISTENCE. The ability to generate NEW, ORIGINAL ideas. The IDEA stage. A SKILL that can be DEVELOPED with time and effort — not only a natural gift.
INNOVATION	The process of APPLYING new ideas . Turning creative concepts into value-creating products, services, or processes. The IMPLEMENTATION stage.

11.2 The Creative Process — 4 Steps

STEP	DESCRIPTION
1. Preparation	Actively defining the problem and gathering relevant background information. THE FIRST STEP. Active phase.
2. Incubation	The unconscious processing stage — the mind works on the problem behind the scenes.
3. Illumination	The "Eureka!" or "Aha!" moment — the idea suddenly surfaces into conscious awareness.
4. Verification	Testing and refining the idea to confirm it actually works and is feasible.

11.3 Types of Innovation

TYPE	DESCRIPTION
Technological Innovation	Using new technology to develop improved products or processes.
Product-Market Innovation	Launching new products or entering new markets.
Administrative Innovation	Innovating in how organizations are structured or managed.
Architectural Innovation	Creating a new dominant design that redefines an entire industry.

11.4 Entrepreneurial Skills — 4 Categories

A. PRACTICAL SKILLS:

- **Goal Setting:** Set goals regularly, create a plan, and carry it out with passion.
- **Planning and Organizing:** Coordinating people and making effective project management decisions.
- **Decision Making:** Being in the right decision-making process; weighing consequences of available options.

B. CRITICAL AND CREATIVE THINKING SKILLS:

- **Creative Thinking:** See situations from a variety of perspectives and come up with original ideas.
- **Problem Solving:** Coming up with sound solutions to problems the business may face.
- **Recognizing Opportunities:** Always being ready to recognize opportunities; studying business trends.

C. PERSONAL CHARACTERISTICS:

- **Optimism:** An optimistic thinker — helps entrepreneurs get through tough times.
- **Vision:** Ability to forecast where things can be improved; explain the "big picture" to others.

- **Initiative:** Instinctively able to start problem-solving or business improvement projects.
- **Drive and Persistence:** Self-motivated, energetic, prepared to work hard for a very long time.
- **Risk Tolerance:** Ready to take risks and make decisions when facts are uncertain.
- **Resilience:** Able to pick themselves up when things don't go as planned.

D. INTERPERSONAL SKILLS:

- **Leadership and Motivation:** Lead and motivate others to follow and deliver the vision.
- **Communication Skills:** Communicate well to investors, potential clients, team members.
- **Listening:** A good listener — ability to listen can make or break an entrepreneur.
- **Personal Relations (EQ):** Emotionally intelligent; build good relationships.
- **Negotiation:** Negotiate keen prices and resolve differences positively.

11.5 The 70-20-10 Rule for Skill Development

PERCENTAGE	SOURCE OF SKILL DEVELOPMENT
70%	ON-THE-JOB ACTIVITIES and action learning (projects, managing, job rotation, job shadowing)
20%	INTERACTIONS WITH OTHERS (mentoring, coaching, communities of practice)
10%	TRAINING (classes, seminars, workshops, conferences)

11.6 Image Building Features of a Product (5 Features)

FEATURE	DESCRIPTION
Branding	A name, term, symbol, or design identifying a product and differentiating it from competitors. Types: Manufacturer brands (national) and Middlemen brands (private).
Packaging	Protects products from damage and promotes benefits through shape, composition, and design. Makes products easier to display, attracts attention, provides convenience.
Design	Good designs help consumers differentiate one product from another. Attractive and distinctive designs improve marketability and product loyalty.
Colour	Very important as an image builder. The attractiveness/dullness of a product's appearance is heavily influenced by colour — especially in fashion, clothing, and manufacturing.
Quality	One of the MOST IMPORTANT image-building features. A bad quality product will not attract repeat buys no matter how glamorous the packaging. Good quality + good packaging = always excel.

11.7 Brand Loyalty — 3 Levels (IN ORDER)

LEVEL	DESCRIPTION
1. Brand Recognition	Consumers are FAMILIAR with the product and recognize it when they see it. LOWEST level.

LEVEL	DESCRIPTION
2. Brand Preference	Consumers will BUY the product IF it is available. They prefer it but will switch if unavailable.
3. Brand Insistence	Consumers will accept NO SUBSTITUTE. HIGHEST level of brand loyalty.

★ EXAM TIP: Know the 4 types of innovation. Know the 4-step creative process IN ORDER. Know the 4 categories of entrepreneurial skills (Practical, Critical/Creative, Personal, Interpersonal). Know the 70-20-10 rule. Know 5 image-building features and 3 brand loyalty levels.

WEEK 12 — BUSINESS FAILURE, SMEs, BUSINESS LOCATION & PRACTICAL PROJECTS

Source: OyeSource PDF — Ch. 6 (Business Failure), Ch. 7 (Small Business Start-up), Ch. 12 (Business Location)

12.1 Business Failure — Definitions

SCHOLAR	DEFINITION
Oshagbemi (1983)	"The inability of a particular business enterprise to continue to function."
Okwoli A.A	"Any business that does not continue in its proper operational existence is said to have failed."

Key implication: The implied objective of ALL business is to EXIST AND FLOURISH PERPETUALLY.

12.2 Two Types of Business Failure

TYPE	DESCRIPTION
FINANCIAL FAILURE	Firm suffers from either TECHNICAL or LEGAL insolvency. A business with legal insolvency has failed in the absolute sense — it is due for LIQUIDATION.
ECONOMIC FAILURE	A situation where a firm's total REVENUE does not cover its total COST. The business is operating at a loss continually.

12.3 Four Symptoms of Business Failure (Oshagbemi, 1983 & Siropolis)

SYMPTOM	DESCRIPTION
1. Declining Working Capital	Progressive decline in working capital adequacy — including receivables, inventories, and cash. THE FIRST SYMPTOM.
2. Declining Sales	Sales decline is serious because fixed overhead expenses do NOT decline proportionally, leading to reduced profit or actual losses.
3. Declining Profits	Profits going downward month to month or year to year. Watch: net profit on net sales AND net profit on tangible net worth.

SYMPTOM	DESCRIPTION
4. Higher Debt Ratios	If current liabilities get out of hand and bills/payrolls cannot be met, the situation may rapidly deteriorate into involuntary bankruptcy.

12.4 Causes of Business Failure (20 Causes)

CAUSE	EXPLANATION
1. Poor Feasibility Report	A poorly doctored feasibility report gives false hopes, wrong expectations, and wrong sense of security.
2. Lack of Adequate Planning	Since every investment decision has risk, adequate planning is essential. Without it, the business will not stand the test of time.
3. Incompetent Management	"The body cannot lay claim to good health when the head is sick." Success or failure rests squarely on management.
4. Inarticulate Programme	Work planning and determination of objectives must become effective early when expressed in policy form.
5. Under-Capitalisation	One of the greatest causes of misery to Nigerian business owners. Brilliant ideas cannot get started due to lack of funds.
6. Poor Market Analysis	Inaccurate market projections lead to misuse of scarce resources. Good market analysis determines present and future market requirements.
7. Lack of Staff Growth Opp.	Any company that does not see to staff's financial and career well-being becomes a training ground for other companies.
8. Filing Behind the Crowd	Merely copying competitors without differentiation gives clients no reason to prefer your business.
9. Neglecting Business Ethics	Neglecting ethics leads to failure — as seen with the Nigerian banking sub-sector collapse.
10. Neglecting Social Resp.	Business succeeds only when community members efficiently patronize it. Products must benefit the community.
11. Poor Communication	When there is no free flow of information, production and service delivery become dislocated.
12. Wrong Location	"Setting a video-viewing centre in a community of blind people is a waste." Location determines a lot.
13. "I Have Arrived" Syndrome	Entrepreneurs who talk and act bigger than they should, taking on more financial responsibilities than their pockets can sustain.
14. No Reward for Hard Work	Failing to reward hardworking staff means they may not find justification to continue working hard.
15. Extraneous Factors	Purely outside the control of the business owner — natural misfortune, economic or political crises.
16. Protracted Ill-Health/Death	Entrepreneurs who hold business secrets so tight that in their absence there is nobody to continue the business.

CAUSE	EXPLANATION
17. Crises of Succession	Failing to make adequate succession plans leads to struggles among children or partners.
18. Bad Spending Habit	Entrepreneurs who cannot separate self from business spend company money on personal needs.
19. Lack of Connection	Good connections can help business grow; lack of it can be strangulating, especially given the "Nigerian factor."
20. Unfavourable Govt. Policies	Bad policy changes kill businesses — e.g., when government banned wheat importation, many breweries went out of production.

12.5 How to Avert Business Failure — The 4 Ms (Baumback, 1992)

The entrepreneur must manage the **4 Ms: MEN, MONEY, MATERIALS, and MACHINES**.

- Careful study of the market
- Wise planning of activities
- Vigilant control of investment, merchandise, personnel, equipment, and building
- Adequate expense record
- Thoughtful selection of goods
- Strategic location with particular reference to the market and transportation of goods
- Sound, flexible policies adequate to obvious business expediencies
- Strong working relationship with suppliers; judiciously controlled credit
- Customer selection and market concentration; skillfully selected personnel
- A well-planned sales promotion programme
- Good motivating programmes; well-forward training programmes; adequate spending habit
- Environmental scanning; must be prepared to take risk; good experience and hard work
- Ability to cage fraud or nip it in the bud

12.6 Small Business Start-up — Key Steps (Chapter 7)

STEP	DESCRIPTION
1. Feasibility Study	No matter how small the enterprise, you need a business plan/survey first.
2. Set Goals	Make a detailed list of what you ultimately want to achieve. Fix your entire being on your goal.
3. Self Assessment	Assess yourself — skill, knowledge, experience. Does the business fall within your personal discipline?
4. Commitment	Have total commitment. Put in long hours. Be mentally engrossed in your business.
5. Your Characteristics	Make a detailed study of your personality, motivation, and values.
6. Be Unique	Do not be the same as everyone else. Capitalize on your self-image. Bring in new ideas.
7. Paying the Price	Be able to shoulder the sacrifices common to new businesses. Profit may not come at the teething stage.
8. Quick Decisions	Make decisions quickly and with firmness. That is what makes you different.

STEP	DESCRIPTION
9. Market Frictions	Study the market peculiarities. Find out requirements like union membership.
10. Exploit Your Integrity	Your business goal must be worthy of your inner desires. If methods are insincere, you will face consequences.

12.7 Factors Influencing Location of Small Business

FACTOR/BUSINESS TYPE	DESCRIPTION
Personal Factors	Entrepreneur's values, dos and don'ts, personal preferences, social ties.
Economic Factors	Purchasing power of target audience; competitive power in the area; available economic resources.
Socio-Cultural Factors	Norms and tradition; infrastructure (water, roads, electricity); religious practices.
Geographical Factors	Natural resources available; climate; comparative advantage of the geographical area.
Service Business	Schools, clinics, restaurants do better in HIGHLY POPULATED neighbourhoods.
Retail Business	Men/women apparel stores near departmental stores; restaurants near theatres; florists near clothing stores.
Wholesale Business	Best located in area with HEAVY CONCENTRATION of the retailers it supplies.
Manufacturing	Consider: closeness to market, suppliers, availability and cost of labour, infrastructure, land, accessibility, government regulations, transportation cost.

12.8 Economic Role of Small Business

- **Job Provision:** Small businesses provide more jobs than large businesses. At least half of employed people work for small businesses.
- **New Products and Services:** Small businesses contribute to economic growth by developing new products.
- **Manufacturing:** In advanced countries, manufacturing accounts for over 60% of exports. Manufacturing is transferable across national/international borders.
- **Economic Integration:** The world economy is becoming global. The road to international competitiveness is through SME sector development.
- **Research, Development, and Innovation:** Research discovers new knowledge; development applies it into technology; innovation commercializes it into markets.

12.9 Features and Problems of SMEs in Nigeria

Features of SMEs:

- Either sole proprietorships or partnerships — even when registered as Limited, it is mere paper status
- Labour-intensive production processes
- Centralized management
- Limited access to long-term capital; even short-term financing at strict interest rates
- High mortality rate due to mistrust that develops among owners
- Regulatory environment — policy instability, inadequate infrastructure

- Over-dependence on imported raw materials and spare parts

Major Problems of SMEs:

- Low capacity utilization — below 40% for a long time (Ekanem, 1997)
- Weak raw material base — excessive dependence on imported inputs (Loto, 2005)
- Poor and obsolete technologies to support growth in manufacturing
- Poor infrastructural facilities at prohibitive costs
- Massive importation and smuggling of finished goods — weak demand for local manufacturing
- Poor and inconsistent industrial policies by government
- Political and social unrest — leading to closure of operations
- **FINANCE is the CORE PROBLEM:** most SMEs do not have access to capital market; bank loans are tedious and interest rates are cut-throat
- Poor management and accounting skills; business transactions never divorced from household expenditures

★ EXAM TIP: EXAM GUARANTEE: (1) Types of business failure. (2) 4 Symptoms of failure. (3) List 10-20 causes. (4) How to avert failure — 4 Ms + Baumbach's points. (5) Features of SMEs. (6) Problems of SMEs. (7) Factors influencing business location.

★ MASTER REVISION — 35 QUICK-FIRE Q&A; ★

Everything you MUST know cold for your exam ■

QUESTION	ANSWER
Who coined "entrepreneur"?	RICHARD CANTILLON
Who listed risk-bearing, coordination, innovation?	JOSEPH SCHUMPETER
Entrepreneurship originated from?	ECONOMICS and BUSINESS
What affects supply of entrepreneurship?	OPPORTUNITY (not money or risk)
What is NOT entrepreneurship?	ROUTINE MANAGEMENT of an ongoing operation
First step in creative process?	PREPARATION
Order of creative process?	Preparation → Incubation → Illumination → Verification
Creativity =?	BRINGING SOMETHING NEW INTO EXISTENCE (generating ideas)
Innovation =?	APPLYING NEW IDEAS to create value (implementing ideas)
Entrepreneur vs Inventor?	Entrepreneur COMMERCIALIZES; Inventor CREATES the idea
Intrapreneur =?	Entrepreneur WITHIN an existing organization
CAC established?	1990, by CAMA Act No. 1 of 1990
CMD established?	1973 (legal backing: Act No. 51 of 1976)
RMRDC established?	Decree No. 39 of 1987; operations: February 10, 1988
NDE established?	November 1986; operations: January 1987
FIIRO established?	1956 (World Bank mission was 1953)
NIFOR originally called?	Oil Palm Research Station (OPRS), established 1939
3 types of govt agencies?	Participatory, Regulatory, Facilitative
7 product dev stages IN ORDER?	Idea Gen → Screening → Concept Testing → Business Analysis → Product Dev → Test Marketing → Commercialization
6 PLC stages IN ORDER?	Introduction → Growth → Growth Maturity → Stable Maturity → Decaying → Petrification

Business failure types?	FINANCIAL (insolvency) and ECONOMIC (revenue < costs)
4 Symptoms of failure?	Declining: working capital, sales, profits; Higher debt ratio
4 Ms to avoid failure?	MEN, MONEY, MATERIALS, MACHINES
Working capital is...?	The MOST CRITICAL factor in the life of any business enterprise
Essence of marketing?	BRINGING BUYERS AND SELLERS TOGETHER
4 Ps of Marketing?	Product, Price, Place, Promotion
Porter's 3 strategies?	Cost Leadership, Differentiation, Focus (Niche)
Brand loyalty levels?	Recognition → Preference → Insistence
5 product image features?	Branding, Packaging, Design, Colour, Quality
SWOT: Internal vs External?	S & W = Internal O & T = External
SMIEIS =?	Banks set aside 10% of Profit Before Tax for SME equity investment
BOI =?	Bank of Industry — DFI, formed 2001 from NIDB + NBCI + NERFUND
70-20-10 rule?	70% on-the-job, 20% from others/mentoring, 10% from training
Types of feasibility study?	Technical, Economic, Legal, Operational
Business Plan vs Feasibility Study?	Feasibility = preliminary/comes first; Business Plan = detailed, comes second

INDIGENE | FUOYE | ENT 102 | 2025/2026 You have studied every topic from Week 1 to Week 12. Every word came from your official materials. Now go DOMINATE that exam. ■